Investprop

AI-POWERED PROPERTY CO-INVESTMENT PLATFORM

STRICTLY PRIVATE & CONFIDENTIAL

Confidential Investor Memorandum

An invitation to invest in the company building South Africa's compliant, AI-driven fractional property co-investment platform.

Issuer	**[Investprop (Pty) Ltd]** ("Investprop", the "Company")
Registration No.	**[Company Registration Number]**
Registered address	**[Registered Address]**
Prepared for	**[Prospective Investor Name]**
Round	**[Seed / Pre-Series A]**
Amount sought	**[R__ million]** for **[__]%** equity
Primary contact	**[Founder Name]**, **[Title]** · **[Email]** · **[Phone]**
Date	**[Date]**
Version	1.0 (Draft for discussion)

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All forward-looking statements, projections, and market figures are estimates and illustrations only. They are not guarantees of future performance. Actual results may differ materially. Prospective investors must rely on their own due diligence and professional advisers. Investment in an early-stage company carries a high risk of loss, including the total loss of capital invested, and the investment is illiquid.

In one line: Investprop has already built a full-stack, AI-powered property co-investment platform (live web app + native mobile app). We are raising growth capital to scale origination, complete our regulated go-to-market, and grow recurring revenue.

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1. Executive Summary

Property is South Africa's most trusted store of wealth, yet direct participation remains out of reach for most people because of high capital barriers, opacity, illiquidity, and heavy compliance burden. At the same time, experienced investors lack a single, data-driven tool to source below-market deals, underwrite them objectively, and manage a portfolio end-to-end.

Investprop is a fully-built, AI-powered platform that solves both sides of this market. It makes property investment accessible from **[R10,000]** through fractional ownership held inside ring-fenced Special Purpose Vehicles (SPVs), and it arms serious investors with an AI underwriting co-pilot, a nationwide distressed-property finder, institutional-grade deal analytics, and a full seller/landlord toolkit.

The platform is **live today** as a production web application and a native mobile app (Android/iOS), built on a modern, secure, type-safe stack. Revenue is diversified across **recurring SaaS subscriptions** and **transaction-based platform fees** on capital raised, distributions, secondary trades, and seller-side facilitation — so the business earns both while deals are sourced and while they are held.

We are raising **[R__ million]** to scale deal origination, complete the FSCA-regulated go-to-market via an accredited partner, accelerate growth in paid subscriptions, and build out operations.

From R10k

Minimum fractional ticket (target)

2 apps

Live web + native mobile

6 tiers

Subscription plans live

10+

Distinct revenue lines

2. The Problem

For everyday investors

- **Capital barrier:** A single buy-to-let property requires a large deposit, bond qualification, and transfer costs — excluding most South Africans.
- **Opacity & trust:** Private property syndications are often informal, with weak reporting and governance.
- **Illiquidity:** Exiting a direct property holding is slow and expensive.
- **Compliance:** FICA, POPIA, and financial-services rules are hard for informal operators to meet.

For serious / professional investors

- **Deal sourcing is manual:** Distressed and below-market stock is scattered across auction houses, bank repossession pages, and sheriff sales.
- **Underwriting is inconsistent:** Investors rely on spreadsheets and gut feel, with no independent grade on a deal.
- **No single cockpit:** Sourcing, analysis, co-investment, and portfolio reporting live in different places.

For sellers & landlords

- Selling to a cash/JV buyer is slow and opaque; fees are hidden; there is no fast, structured route to a motivated institutional buyer.

3. The Solution — What Investprop Is

Investprop is a single platform with three connected sides:

Side	Who	What they get
Co-investment	Retail & qualifying investors	Fractional ownership of curated properties via ring-fenced SPVs, transparent reporting, share certificates, and a path to secondary liquidity.
Investor tools	Serious / professional investors	AI underwriting co-pilot, nationwide Distressed Property Finder with AI deal grades, financing/deal calculators, and portfolio analytics.
Seller & owner	Property owners & landlords	Submit a property for cash, joint-venture, or development partnership; AI valuation; fast-tracked, transparent, fee-disclosed review.

Deals sourced through the investor tools can be promoted into the co-investment pipeline, and properties submitted by sellers feed the same funnel — creating a compounding, two-sided origination engine that most competitors lack.

4. Product & Technology

The platform is production-grade and already shipping across two clients:

- **Web application** — full investor, owner, and operations experience.
- **Native mobile app** — Flutter-based Android/iOS app with the investor, seller, distressed-deals, and deal-calculator experiences.
- **Operations console** — staff workflows for deal pipeline, compliance (FICA/KYC), revenue, and reporting.

Engineering highlights

- Modern type-safe stack (TypeScript, React, tRPC, Prisma, PostgreSQL) with a hardened, containerised production deployment.
- Security-first: bank-grade password hashing, role-based access control, rate limiting, input sanitisation, SSRF guards on the scraper, and an audit log on sensitive actions.
- Automated schedulers for distressed-deal scraping, AI grading, alerting, and nightly market analysis.
- Payments integration (Paystack) for subscriptions and recurring billing.

5. Artificial Intelligence Layer

AI is a core differentiator, not a bolt-on. It powers:

Capability	What it does
AI Investment Co-Pilot	Conversational assistant that answers deal and portfolio questions in context.
AI Underwriting	Independent assumption breakdown and risk read on any deal.
AI Deal Grades (A–E)	Every distressed / auction listing is screened and graded on upside and risk.
AI Portfolio Advisor	Strategy-level guidance across an investor's holdings.
Distressed Market Analysis	Deterministic comparable-sales benchmarking, margin-of-safety, max-bid and flip/rental projections per listing.
AI Seller Valuation	Offer-readiness valuation report for property owners.

6. The Market Opportunity

South African residential property is a multi-trillion-rand asset class and the primary store of household wealth. Fractional, app-based investing is still nascent locally while it has scaled rapidly in comparable markets abroad, and distressed / auction stock is a large, perennial, under-digitised niche.

- **Co-investment TAM:** the pool of South Africans who want property exposure but cannot buy a whole property.
- **Investor-tools SAM:** active and aspiring property investors seeking sourcing + underwriting software.
- **Distressed niche:** thousands of bank-repossession, sheriff, and liquidation listings each year nationwide.

Precise TAM/SAM/SOM figures to be inserted from the Company's market model: **[insert sized market model]**.

7. Business Model & Revenue Streams

Investprop monetises in two complementary ways — **recurring subscriptions** and **transaction fees**.

A. Recurring subscriptions (SaaS)

Plan	Monthly	Annual	Who it's for

Starter (Free)	R0	R0	Entry / funnel
Investor Plus	R299	R2,990	AI co-pilot + portfolio advisor
Pro	R799	R7,990	+ AI underwriting, distressed full access, priority support
Enterprise	R2,499	R24,990	+ multi-SPV reporting, market-data API
DistressedDeals SA	R499	R4,990	Standalone distressed finder
Seller Pro	R499	R4,990	Standalone seller / landlord toolkit

B. Transaction & platform fees

Fee	Rate (default)	Charged on
Capital raise fee	2.5%	Investor capital contributed into a deal
Distribution fee	2.0%	Income / profit distributed to investors
Secondary trade fee	1.0%	Investor-to-investor share trades
Sourcing fee	1.0%	Deals sourced into the pipeline
Seller facilitation fee	2.0%	Agreed sale price, at close (seller-side)
Assessment / DD pack	R2,500 (credited at close)	Seller due-diligence pack
JV promote	10.0%	Joint-venture / partnership payouts
Lease-back setup	R5,000	Structuring a sale-and-leaseback
Lease-back rental management	8.0%	Monthly rent under a leaseback
Bond referral	Configurable	Referrals to bond originators

Rates are platform defaults and are centrally configurable. Every fee is booked to a single revenue ledger for clean reporting.

8. Unit Economics (Illustrative)

The model earns on **both** the subscription and the deal. A single Pro subscriber at R799/month contributes ~R9,588/year of high-margin recurring revenue. Separately, a R1,000,000 co-investment deal generates ~R25,000 at capital-raise (2.5%), plus distribution

fees over the hold, plus any secondary-trade fees on exit — all on top of subscription revenue.

Key point: because sourcing, subscriptions, transactions, and seller-side fees stack on the same user base, lifetime value compounds as a user moves from browsing to subscribing to transacting.

Full CAC / LTV / payback and cohort assumptions: **[insert from financial model]**.

9. Traction & Current Status

- **Product:** Live production web app and native mobile app; feature-complete across investor, seller, and ops journeys.
- **Monetisation:** Subscription billing and the full platform-fee engine are built and operational.
- **Distressed engine:** Automated nationwide scraping, AI grading, alerting, and nightly market analysis running on schedule.
- **Compliance scaffolding:** FICA/KYC workflows, POPIA-aware data handling, audit logging, and an admin compliance console.

Live KPI snapshot (users, subscribers, GMV, pipeline value) to insert at issue: **[insert current metrics]**.

10. Go-to-Market Strategy

- **Lead with tools:** acquire serious investors via the Distressed Finder and AI underwriting (clear, immediate ROI), then upsell to co-investment.
- **Content & community:** educational content on SA property investing to build an organic funnel into the free tier.
- **Seller inbound:** the seller toolkit brings motivated, off-market stock that fuels the co-investment pipeline.
- **Regulated wrapper:** partner with an FSCA-accredited institution to take fractional co-investment fully to market.
- **Partnerships:** bond originators, conveyancers, and auction houses for referrals and deal flow.

11. Competitive Landscape

Category	Examples	Investprop edge
Fractional property platforms	Local & offshore fractional apps	We add AI underwriting + a distressed sourcing engine + seller funnel, not just a marketplace.
Property portals	Listing sites	We underwrite, grade, and let users co-invest — not just browse.

Spreadsheets / manual syndication	Informal JV groups	Compliant SPV structuring, transparent reporting, and automation.
Auction / repo aggregators	Scattered auction houses	One AI-graded, filterable feed with alerts and market analysis.

12. Regulatory, Compliance & Risk

Fractional property co-investment touches South African financial-services regulation. Investprop's strategy is to operate the regulated co-investment product through an **FSCA-accredited partner** that provides the licence and product-structuring oversight, while Investprop provides the technology, origination, and operations. The tool/SaaS and seller-facilitation lines are lighter-touch and can scale in parallel.

- **FICA / AML:** identity verification and KYC workflows built in.
- **POPIA:** privacy-aware data handling and consent.
- **Governance:** ring-fenced SPVs, audit logging, and transparent fee disclosure.

A detailed FSCA gap analysis and compliance roadmap are available in the data room.

13. Financial Projections (Illustrative)

The figures below are **illustrative placeholders** to show the shape of the model. Replace with the Company's financial model before issue.

Metric (R'000)	Yr 1	Yr 2	Yr 3	Yr 4	Yr 5
Subscription revenue	[__]	[__]	[__]	[__]	[__]
Transaction & seller fees	[__]	[__]	[__]	[__]	[__]
Total revenue	[__]	[__]	[__]	[__]	[__]
Gross margin %	[__]	[__]	[__]	[__]	[__]
EBITDA	[__]	[__]	[__]	[__]	[__]

14. The Ask & Use of Funds

Investprop is raising **[R__ million]** in this round.

Use of funds	Allocation	Purpose
Growth & marketing	[__]%	Paid acquisition, content, partnerships, subscriber growth.
Deal origination	[__]%	Sourcing capacity and first-party deal flow.

Regulatory & compliance	**[__]%**	FSCA partner integration, legal, licensing, audit.
Product & engineering	**[__]%**	Feature depth, scale, data & AI.
Operations & team	**[__]%**	Key hires across ops, compliance, and support.
Working capital	**[__]%**	Runway buffer.

15. Investment Terms (Indicative)

Instrument	**[Ordinary equity / SAFE / convertible]**
Pre-money valuation	**[R__ million]**
Amount sought	**[R__ million]**
Minimum ticket	**[R__]**
Investor rights	**[Information rights, pro-rata, board observer, etc.]**
Use of proceeds	As per Section 14

Indicative only and subject to definitive subscription and shareholders' agreements.

16. Key Risks & Mitigations

Risk	Mitigation
Regulatory (fractional co-investment)	Operate through an FSCA-accredited partner; phased rollout; legal counsel.
Market / property cycle	Diversified SPVs, conservative underwriting, distressed focus (margin of safety).
Adoption / CAC	Lead with high-ROI tools; organic content funnel; two-sided origination.
Execution / key-person	Documented systems, automation, planned key hires.
Liquidity for investors	Secondary-trade mechanism and defined exit pathways.
Technology / security	Hardened stack, audits, monitoring, and incident processes.

17. Team & Governance

[Founder & key team bios — name, role, relevant experience.]

[Advisers, board, and corporate governance structure.]

18. Proposed Next Steps

1. Sign a mutual NDA and share the full data room.
2. Management presentation and live product walkthrough.
3. Due diligence (technical, financial, legal, compliance).
4. Agree terms; execute definitive agreements; close.

For and on behalf of Investprop	Prospective Investor
Name / Title / Date	Name / Title / Date

Appendix A — Revenue Catalogue

Full list of monetisation lines currently implemented in the platform.

#	Line	Type	Rate / Price
1	Investor Plus subscription	Recurring	R299/mo · R2,990/yr
2	Pro subscription	Recurring	R799/mo · R7,990/yr
3	Enterprise subscription	Recurring	R2,499/mo · R24,990/yr
4	DistressedDeals SA subscription	Recurring	R499/mo · R4,990/yr
5	Seller Pro subscription	Recurring	R499/mo · R4,990/yr
6	Capital raise fee	Transaction	2.5%
7	Distribution fee	Transaction	2.0%
8	Secondary trade fee	Transaction	1.0%
9	Sourcing fee	Transaction	1.0%
10	Seller facilitation fee	Seller-side	2.0% at close
11	Assessment / DD pack	Seller-side	R2,500 (credited at close)
12	JV promote	Seller-side	10.0% of JV payout
13	Lease-back setup	Seller-side	R5,000

14	Lease-back rental management	Recurring	8.0% of rent
15	Bond referral	Referral	Configurable

Appendix B — Glossary

Term	Meaning
SPV	Special Purpose Vehicle — a ring-fenced company that holds a single property or deal.
Fractional ownership	Owning a share of a property via shares in its SPV.
FICA	Financial Intelligence Centre Act — identity/AML verification.
POPIA	Protection of Personal Information Act — SA data-privacy law.
FSCA	Financial Sector Conduct Authority — SA financial-services regulator.
JV promote	A performance share of profit on a joint-venture deal.
Lease-back	Seller sells a property and continues to occupy it as a tenant.
GMV	Gross Merchandise Value — total value of deals transacted.